

want to meet on live streams, or inside games, and take part in more meets with people local to them, even if those meets are online. Gen C too is going to try and shy away from advertisers and new truly-private services are going to help them do it. They're probably going to converge around a service totally not built for social networking and find a way to use that instead – like [Google Docs](#)² for young Zoomers and older Gen Alphas.

Gaming is going to be an obvious way these kids will congregate, but we're not exactly sure what kinds of games they will play. A Discord-like service is probably one of the ways they will socialise, or maybe a truly audio-only service. Why audio? Because they might shy away from video since that's what the generations before them seemed to like. Though this is just a stab in the dark, if we're being honest.

WHAT MAKES A GOOD SOCIAL NETWORK? (INVESTOR EDITION)

Most online companies seem to work in exactly the same way now, following the same steps. The first step is to put your idea out there as a site or service that you build yourself and hope that people are attracted to it. Because the internet is such a big place, we're talking millions of users needed at this stage itself, especially if it's a free service that's built on making money off users. As you approach the million mark, you start looking for investors, or if this has happened very quickly and in the public eye, investors will approach you. While they all understand that the audience

well as to try and start making some money. For some this might be a good point to go public, while others might want to wait a little longer.

Step 3 is when you are big enough to start acquiring other companies because you find their services or product can make yours even better than it already is. It's also a good time to start planning the future, knowing fully well that as generations change, user preferences do as well, and no one wants to be on the same platform as their parents. Some things are just human nature...

If the service being offered at the heart of the social media platform is a paid service or the financials depend on people buying premium accounts and features (such as part of LinkedIn's earnings) then a rapid growth in that number is what investors want to see. If the service is totally free (such as Facebook), then investors want to see earnings going up because of advertising or other methods. As long as earnings are accelerating at a faster pace than the spends, investors can see a light at the end of the tunnel, and are happy.

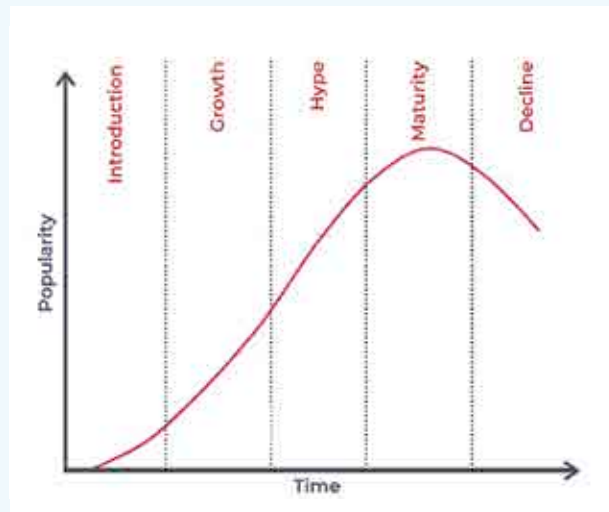
FOLLOW THE ADS?

This is actually a misnomer of sorts when it comes to social media, because it's the young people that set the trends and then it's the advertisers who follow those trends and try and figure out a way to target the users – maybe "The Ads will follow" was more accurate as a heading for this section? With social media, advertising is a question of demographics as well. For example, a car advertiser has no real use for a social network that consists of mainly teens, because teens don't buy cars. A shoe brand, however, will sell its soul to capture that same market.

The majority of advertising online is shifting to a conversion model though, which means advertisers wanting to pay-per-product-sold, rather than just pay-per-eyeball. Both publishers as well as social media services are against the shift, as they should be, and as you should be too. Imagine a world in which a phone or laptop brand only wants to pay-per-laptop sold. In such a world, you'd get a million bloggers popping up all giving the laptops rave reviews, while an honest review from Digit might cause readers to not buy the product, and as a result, the brand in question would never offer us advertising. This isn't something that will happen in the future, it's already happening. Almost every product out there is getting rave reviews by someone or the other on YouTube or online, despite the products often being pretty average. You're smart enough to figure out why that is...

Coming back to the point, it almost seems like the youth of the time are constantly running away from advertisers and seeking something they can call their own, while advertisers keep finding ways in which to commercialise and market themselves using those platforms. This writer fondly remembers the days of alternative music and metal before it was all bought over and commercialised. So many people will say the same about a myriad other things – there are probably TikTok purists who lament the commercialisation of their favourite app...

Whatever the case, there are always going to be teenager-targeted brands who want to advertise their goods



The phases a social network goes through, by Webound

acquisition phase is a money losing enterprise, they want to know how you will make money later. Of course huge services (in their initial days) such as Facebook, Instagram, WhatsApp, YouTube, Twitter and the likes can afford to stay in the red for longer, while smaller startups will need to start earning money a lot faster.

Step 2 is to start making money, whilst still focussing on attaining critical mass in Step 1. Critical mass is the point at which you are acquiring users much more rapidly than you lose them, and without any money spent doing so. At this point you can focus on tweaking things to stay relevant, as